

Cboe Europe Derivatives

July 2, 2020



Strategic Review

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Questions & Answers

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Cautionary Statements Regarding Forward-Looking Information



This presentation contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995 that involve a number of risks and uncertainties. You can identify these statements by forward-looking words such as “may,” “might,” “should,” “expect,” “plan,” “anticipate,” “believe,” “estimate,” “predict,” “potential” or “continue,” and the negative of these terms and other comparable terminology. All statements that reflect our expectations, assumptions or projections about the future other than statements of historical fact are forward-looking statements. These forward-looking statements, which are subject to known and unknown risks, uncertainties and assumptions about us, may include projections of our future financial performance based on our growth strategies and anticipated trends in our business. These statements are only predictions based on our current expectations and projections about future events. There are important factors that could cause our actual results, level of activity, performance or achievements to differ materially from those expressed or implied by the forward-looking statements.

We operate in a very competitive and rapidly changing environment. New risks and uncertainties emerge from time to time, and it is not possible to predict all risks and uncertainties, nor can we assess the impact of all factors on our business or the extent to which any factor, or combination of factors, may cause actual results to differ materially from those contained in any forward-looking statements.

Some factors that could cause actual results to differ include: the loss of our right to exclusively list and trade certain index options and futures products; economic, political and market conditions; compliance with legal and regulatory obligations; price competition and consolidation in our industry; decreases in trading volumes, market data fees or a shift in the mix of products traded on our exchanges; legislative or regulatory changes; our ability to protect our systems and communication networks from security risks, cybersecurity risks, insider threats and unauthorized disclosure of confidential information; increasing competition by foreign and domestic entities; our dependence on and exposure to risk from third parties; fluctuations to currency exchange rates; our index providers’ ability to maintain the quality and integrity of their indexes and to perform under our agreements; our ability to operate our business without violating the intellectual property rights of others and the costs associated with protecting our intellectual property rights; our ability to attract and retain skilled management and other personnel; our ability to accommodate trading volume and transaction traffic, including significant increases, without failure or degradation of performance of our systems; misconduct by those who use our markets or our products; challenges to our use of open source software code; our ability to meet our compliance obligations, including managing potential conflicts between our regulatory responsibilities and our for-profit status; damage to our reputation; the ability of our compliance and risk management methods to effectively monitor and manage our risks; our ability to manage our growth and strategic acquisitions or alliances effectively; restrictions imposed by our debt obligations; the impact of the novel coronavirus (“COVID-19”) pandemic, including changes to trading behavior broadly in the market as well as due to the temporary suspension of open outcry trading in response to COVID-19; our ability to maintain an investment grade credit rating; impairment of our goodwill, long-lived assets, investments or intangible assets; and the accuracy of our estimates and expectations. More detailed information about factors that may affect our actual results to differ may be found in our filings with the SEC, including in our Annual Report on Form 10-K for the year ended December 31, 2019 and other filings made from time to time with the SEC.

The planned European derivatives buildout is subject to regulatory approval. All planned dates and timelines are subject to change without notice.

We do not undertake, and we expressly disclaim, any duty to update any forward-looking statement whether as a result of new information, future events or otherwise, except as required by law. Readers are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date hereof.

This presentation includes market share, financials and industry data that we obtained from industry publications and surveys, reports of governmental agencies, third-parties and internal company surveys. Industry publications and surveys generally state that the information they contain has been obtained from sources believed to be reliable, but we cannot assure you that this information is accurate or complete. We have not independently verified any of the data and financials from third-party sources nor have we ascertained the underlying economic assumptions relied upon therein. Statements as to our market position are based on the most currently available market data. While we are not aware of any misstatements regarding industry data and financials presented herein, our estimates involve risks and uncertainties and are subject to change based on various factors.

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Cboe is committed to defining markets by being the global leader in innovative tradable products and services



** Subject to regulatory approval*



Growing our European Business



Cboe Europe Equities Blueprint for Success

Cboe simplifies cross-border trading and keeps Europe's capital markets connected



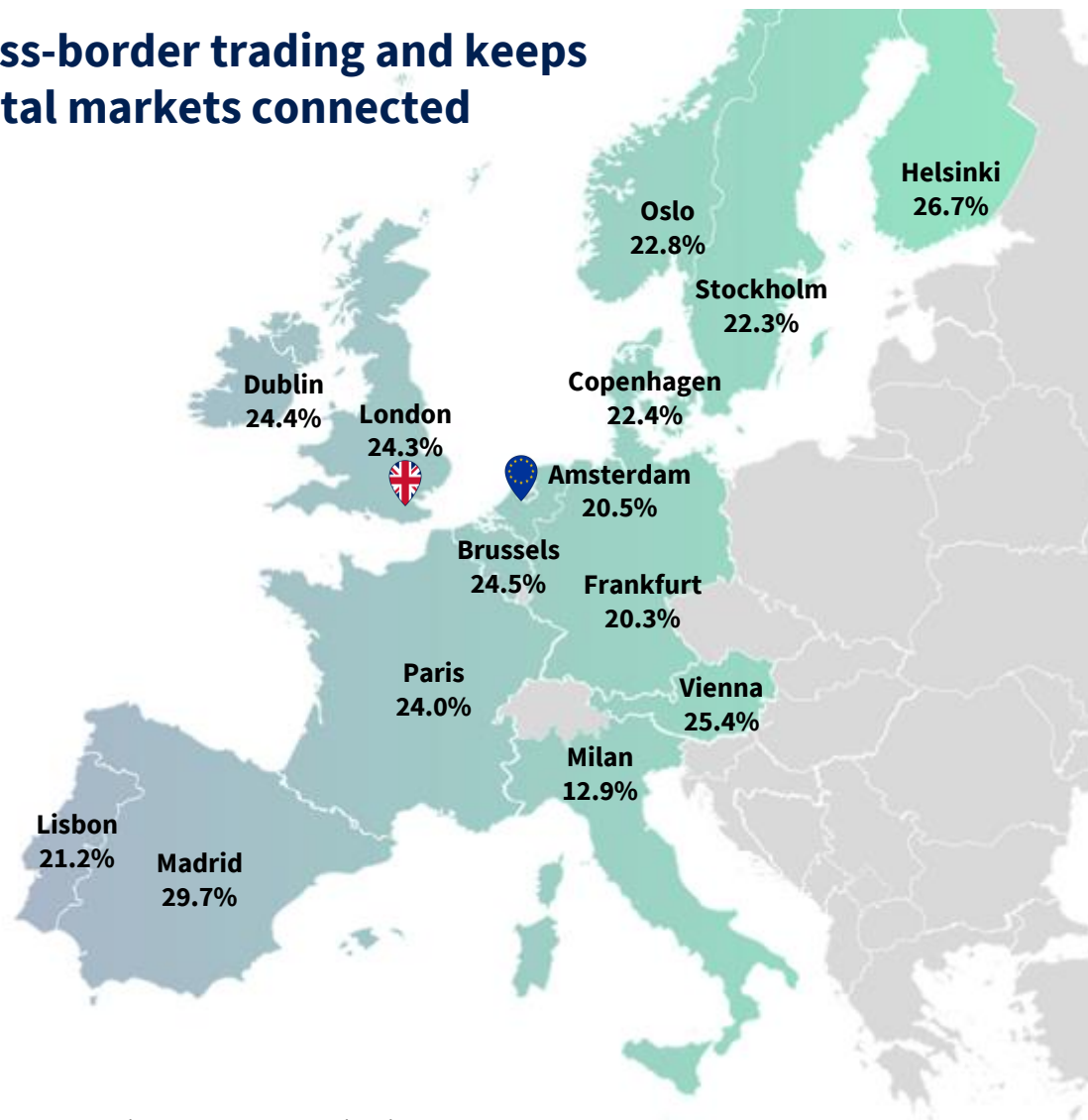
- Access to 18 European markets
- More than 6,500 securities available for trading
- Diverse liquidity pools to meet investor needs
- Cost-effective services for each stage of trading
- Two venues



Cboe UK: Recognised Investment Exchange

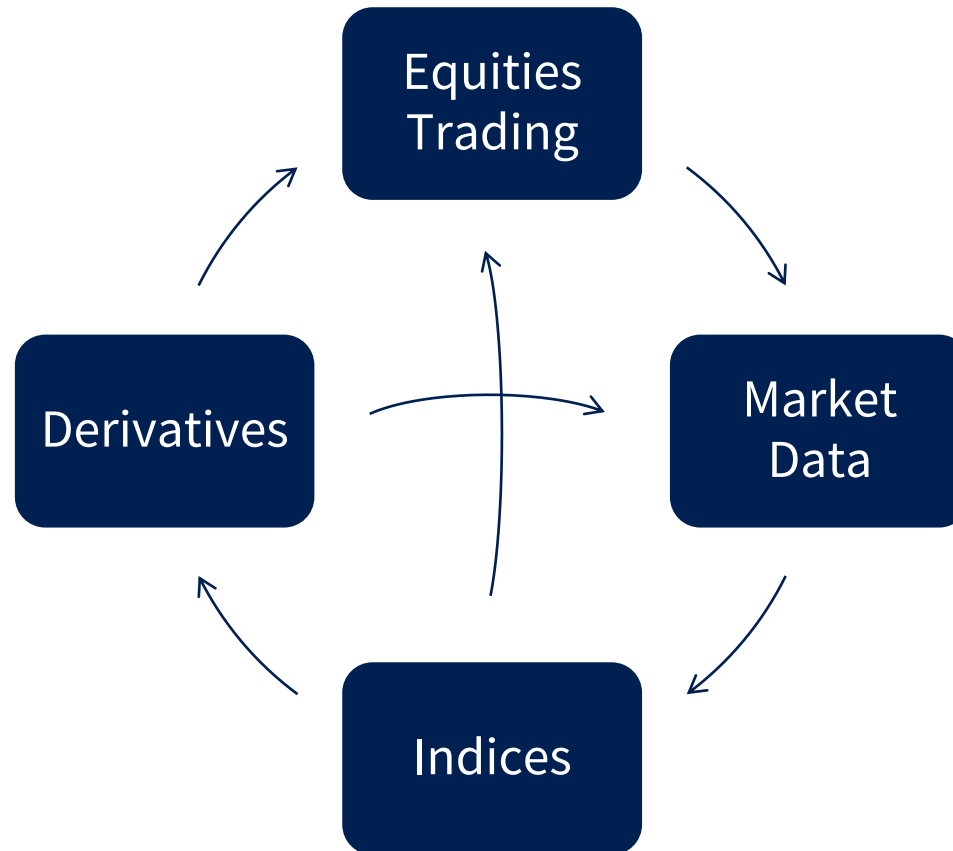


Cboe NL: Regulated Market



Source: Cboe Europe Equities Market Share
Data for Q1 2020 for Continuous trading only 08:00 to 16:30 UK

Leveraging Our Ecosystem to Build New Markets





❖ Joins together two leading pan-European market infrastructure providers

- Brings together two pan-European organizations that have long championed competition, open access, clearing interoperability
- Europe's most connected equity central counterparty (CCP) – clears trades from 37 venues, which represent approximately 95% of Europe's equity landscape*
- Within this universe, EuroCCP has ~40% market share *

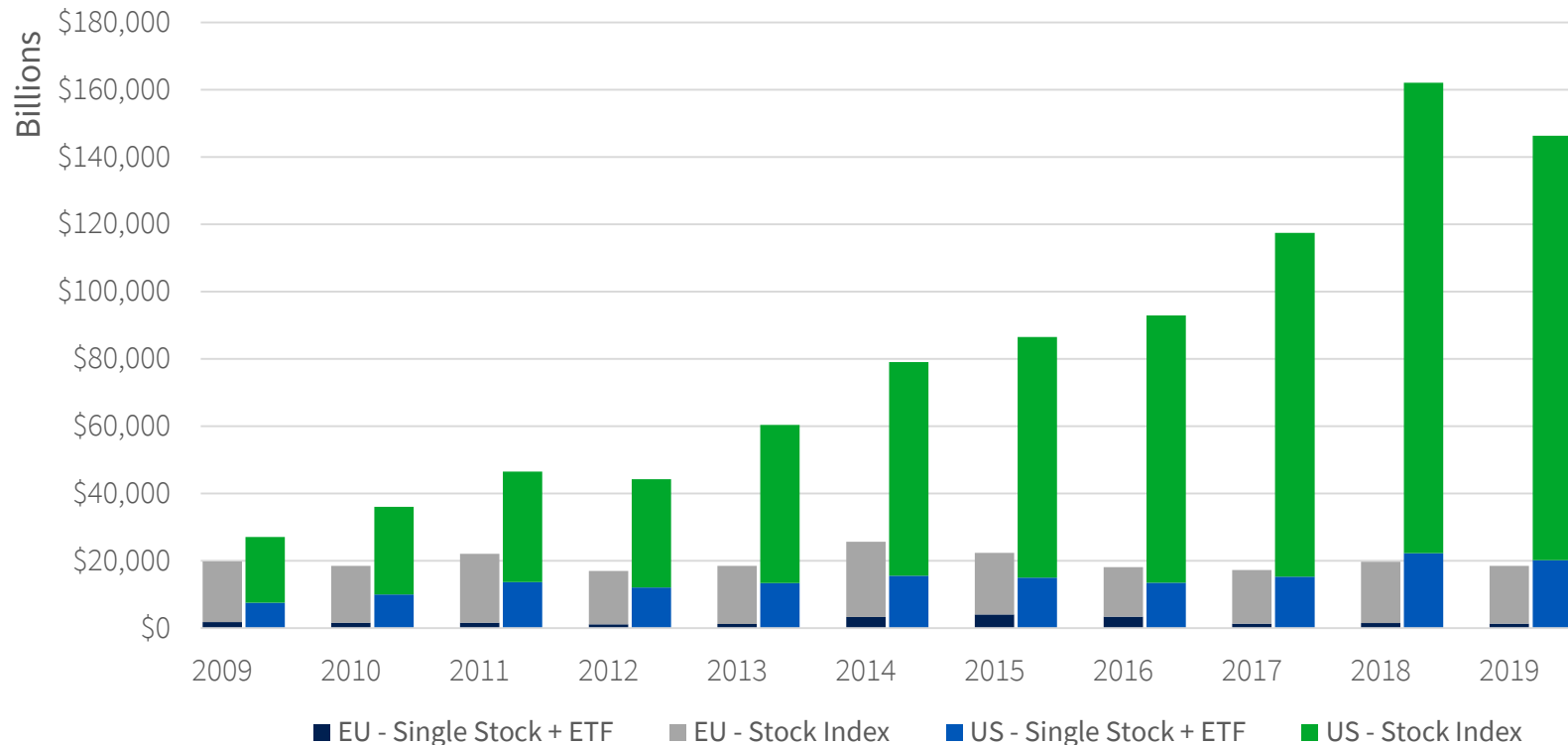
❖ Benefits of the transaction

- Helps ensure cost-effective clearing competition remains vibrant in European capital markets for the benefit of all market participants
- Provides Cboe ownership of an in-EU clearing house, a strategic asset in light of the political and regulatory uncertainty surrounding Brexit and the future framework of European capital markets
- Provides opportunity to grow the EuroCCP business by leveraging our track record of innovation and strong customer relationships to create vibrant, efficient pan-European market infrastructure
- Provides a pathway for equity derivatives trading and clearing in the region

Lack of Transparency, Competition and Poor Market Structure Has Hindered Growth

Equity + Index Options Market Landscape – Europe vs U.S.

Notional Value Traded (USD)

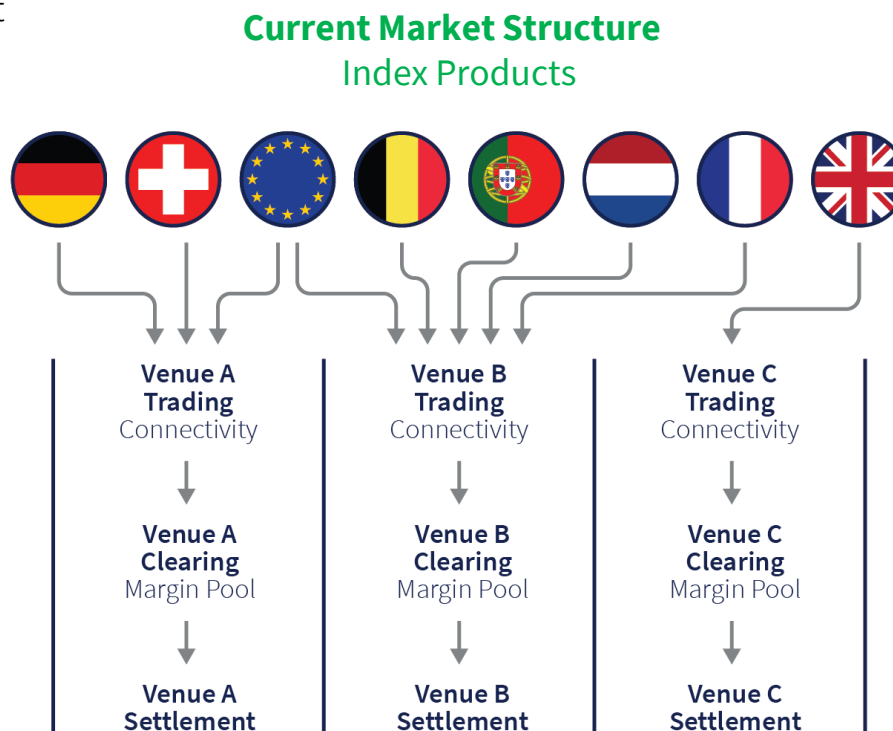


GDP 2019E:	U.S.	Europe*
	\$21.4 trillion	\$19.0 trillion

* Includes UK + EU

❖ State of exchange-traded equity derivatives in Europe

- Market dominated by a pre-arranged block trading model actively encouraged by incumbent exchanges
- Limited on-screen liquidity
- Fragmented market



Lack of transparency and competition, alongside poor market structure, has hindered growth of European derivatives market

Leveraging our derivatives expertise and world-class technology to grow a better marketplace for participants to express views



There is an opportunity to bring significant improvement to the European derivatives market landscape through the introduction of a new venue with a U.S. style liquid, on screen market model

Cboe Europe Index Options | Cboe Europe Index Futures

Phase 1 Product Suite – Futures and Options on Six Key Benchmarks



Cboe Eurozone 50



Cboe UK 100



Cboe Netherlands 25



Cboe Switzerland 20



Cboe Germany 30



Cboe France 40

- ❖ Products will be based on Cboe Europe Indices, highly-correlated benchmarks powered by Cboe market data*
- ❖ Central Limit Order Book that promotes competition and deep, liquid markets through liquidity provision incentives
- ❖ Modern technology platform built leveraging Cboe's global asset class expertise

A Single Access Point for Pan-European Derivatives Trading and Clearing

Pan-European Approach

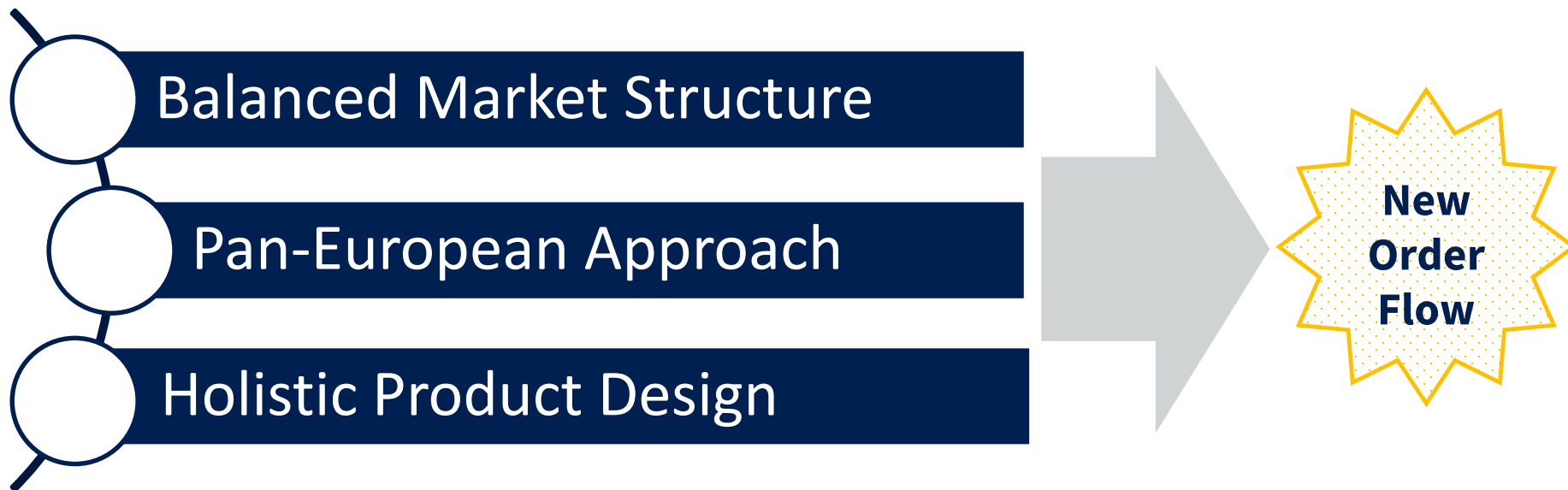


Holistic Product Design

- ❖ Homogenous contracts based on highly-correlated benchmarks
 - Consistent contract design principles – indices and contracts built the same way
 - Uniform index methodology
- ❖ Market-friendly contract specs
 - Right-sized index futures contracts vis-à-vis options, enabling more precise delta hedging
 - Appropriately calibrated tick sizes enabling more granular price increments
- ❖ Cost-effective pricing

We believe a robust pan-European market infrastructure provides efficiencies for customers, while fuelling growth of capital markets in Europe

**A modern, efficient pan-European derivatives market
designed to expand derivatives trading in Europe**



TRANSPARENCY

EFFICIENCY

SIMPLICITY

Launch Timeline

Timing	Milestone
July 1	EuroCCP Deal Closed
July 2020	Exchange and contract specifications available to Customers
Q3 2020	Network connectivity available – Order ports
Q4 2020	Certification and platform testing begins
First half 2021	Exchange launch with Phase 1 products
2022	Phase 2 product suite – contracts on additional European benchmarks

Acquisition of EuroCCP and Buildout of Pan-European Derivatives Trading and Clearing

Investing in long-term growth

- ❖ Reaffirmed expected EPS impact for 2020 and 2021, but now expect to be at higher end of range, primarily due to higher than originally projected facility fees for EuroCCP backup credit facility

Projected EPS Impact As of July 2, 2020	2020	2021
EuroCCP and buildout of pan-European derivatives trading and clearing ¹	(\$0.08) to (\$0.10)	(\$0.08) to (\$0.10)

EuroCCP Data (€ in millions)			
EuroCCP Results	2019² Unaudited	2018³ Actual	Chg
Revenue	€ 23.8	€ 21.2	12%
Expenses	€ 20.0	€ 19.5	3%
Pre-tax earnings	€ 3.8	€ 1.7	124%

¹Derivatives subject to regulatory approval

²Preliminary and subject to change

³EuroCCP 2018 Annual Report

Questions & Answers





Thank You for Joining Us